



Cohort Analysis - Executive Summary

This comprehensive analysis of travel customer data reveals significant opportunities for revenue optimization and customer retention strategies. The dataset encompasses 5,782 customers generating \$20.2 million in total revenue across 15,484 trips between 2023 and early 2024.

Key Findings:

- **Customer Concentration:**
The top 20% of customers generate 30.4% of total revenue, indicating a valuable high-value segment worth targeted retention efforts
- **Market Demographics:**
88.5% female customer base with 71.7% middle-aged customers, presenting clear segmentation opportunities
- **Revenue Split:** Hotel bookings dominate with \$13.0M (64.4%) vs. flight bookings at \$7.2M (35.6%), suggesting stronger margins in accommodation services
- **Engagement Metrics:** Average conversion rate of 33.9% with 2.68 trips per customer indicates room for improvement in both conversion and repeat business

Strategic Recommendations:

- Implement premium loyalty program targeting high-value customers (\$1,951 average CLV)
- Develop family-focused marketing for married customers who spend 9.4% more than singles
- Optimize mobile experience to improve 17.6 average clicks per session
- Enhance booking incentives to reduce 17.8-day average booking lead time

Bottom Line: The customer base shows strong potential for growth through targeted segmentation strategies and enhanced customer experience optimization, with particular focus on high-value customer retention and family market expansion.